

Value Chain

Michael E. Porter

DEFINITION

Competitive advantage is found by disaggregating the firm into value-creating activities.

KEY POINTS

- Primary activities: inbound logistics → operations → outbound → marketing → service
- Support activities: firm infrastructure, HRM, technology, procurement
- Margin is what remains after the cost of performing activities
- Use to locate where value and cost are actually created

REFERENCE

Porter, M.E. (1985) *Competitive Advantage: Creating and Sustaining Superior Performance*. New York: Free Press.